

Lever 1 : Increase Your Income

As quoted in an issue of "Fortune" magazine, "The millionaire mentality watches cost and tries to reduce them—and also strives to increase the production and sales and thus the overall profits."

You have to treat your financial management and your financial freedom goals as seriously and diligently as any other business and work to increase your savings by watching and controlling costs (and hence expenditure) while simultaneously working on increasing the productivity (and hence income). To make the idea of extra income clearer, I would like to tell you a true story that I once read, while sharpening my own financial saw.

There was a person who had a very peculiar habit of looking for money. He would actually ride a bicycle while looking down. As odd as his behaviour was, the most surprising result of this habit was that nearly every day, he would find money lying on the ground. I am not asking you to replicate this habit, that would be a little weird. My point in sharing the story is that you will get what you are looking for.

When you start looking for ways to increase your income and earn extra money, you will realize that there are opportunities all around you that always existed for years. It is just that you never thought seriously about them. You were not looking for them.

Remember that even if you were saving 10% of your income and that additional extra income earns just 5% of your total income, you do not speed up your financial freedom by that additional 5%, but by 50%. Yes, that's true!

This is because what contributes to your financial freedom is your savings and not your income. A majority of the income goes to maintain your monthly expenditure while it is the savings that matter most to us.

This is an extremely powerful concept. It often gets overlooked because of its simplicity. Let us say that you earn ₹50,000/- per month and save 10% of your income (10% of ₹50,000/- = ₹5,000/-). This ₹5,000/- builds your wealth corpus slowly but surely. Now, if you are able to increase your income by just 5% and therefore your income now becomes ₹50,000/- ×